NDIS Quality and Safeguards Commission

EXECUTIVE BRIEF

Executive: Branch Head, NCW
Executive action: For decision

PDR: EC22-002521

PROPOSED BANNING ORDER – SIMON REID

Recommendation	Executive Action
1. That you agree to sign and issue a banning order under section 73ZN(2)(a)(iii) of the NDIS Act in respect of Mr Simon Reid (Mr Reid) (**Attachment A**).	Signed

21/12/2022 X Philip Halton Signed by: PH0055 Philip Halton, Branch Head, Operations - North Central West Region	Comments:

Allegations

1. It is alleged that Mr Reid is not suitable to be involved in the provision of supports or services to people with disability on the basis that Mr Reid, a person who has authority or responsibility for (or significant influence over) planning, directing or controlling the activities of Hybrid Hive Pty Ltd (Hybrid):
    1.1. Has authority or responsibility for (or significant influence over) planning, directing or controlling the activities of Hybrid as a Director, an entity under which fraudulent claims for services were submitted to the NDIS; and
    1.2. Mr Reid is a joint signatory to the bank accounts of FFG and Hybrid, to which monies for fraudulent claims were paid.

Outline of evidence

2. With the exclusion of Attachments B to F, please refer to EC22-002103 to review evidence referenced below, including the .

Entity information:

3. Hybrid was registered as a corporate entity on 17 June 2021.
    3.1. The sole director and shareholder is Mr Reid (**Attachment I – p6-7**).
    3.2. The ultimate holding company of Hybrid is Hive (**Attachment I(a)**).

3.3. Hybrid has operated as an unregistered NDIS Provider, having submitted payment claims via PMAs to a total value of $1,707,683 (**Attachment J – p3**).

Conduct engaged in:

4. On 19 October 2022, Ms Reid was charged with four offences detailed on page 2 of this briefing (**Attachment K**).

4.1. The statement of material facts (**Attachment L**) relevantly notes:

- Between 26 November 2021 and 22 June 2022, Ms Reid and Mr Reid caused 81 false 'payment requests' to be submitted against the funding of two NDIS participants, with the intention of dishonestly causing a loss to the Commonwealth. As a result of these claims, Ms Reid and Mr Reid received money reasonably suspected of being proceeds of crime to the sum of $247,484.78.
- Between 26 August 2022 and 21 September 2022, Zettai Pty Ltd trading as Assist Plan Managers submitted 11 separate reports of suspicious invoices submitted by FFG and Hybrid.
- Ms Reid encouraged an employee, Leah Norman to inflate the amount of time she spent coordinating support services for participants. Ms Norman alleges Ms could claim for residual funds left in a participants plan towards the end of the plan expiry. FFG and Hybrid are responsible for $1,485,527 in claims from expired plans. This represents 31% of total successful claims.
- Between 30 November 2021 and 10 May 2022, claims to a combined total of $127,475.30 were submitted by FFG and Hybrid against the NDIS plan of Ms Meghan Goodwin (Ms Goodwin). These amounts were paid into FFG and Hybrid accounts for which Mr and Ms Reid are the joint signatories. Ms Goodwin has provided evidence that she did not receive the services purportedly provided in these claims.
- Between 24 November 2021 and 22 June 2022, claims to a total combined value of $120,009.48 were submitted by FFG against the NDIS plan of Ms Sarah-Jane Clulow (Ms Clulow). These amounts were paid into FFG accounts for which the joint signatories are Mr Reid and Ms Reid. Ms Clulow has provided evidence that she did not receive the services purportedly provided in these claims.

4.2. Ms Reid is further subject to bail conditions, including a protective bail condition that she is not to communicate directly with any person who is considered to be a current or past recipient of services provided by Hybrid or FFG about the content of any evidence they may give, or be able to give, in the prosecution of these charges (**Attachment L(a)**).

5. Ms Reid has engaged in conduct, as identified within the briefing EC22-002000 (a briefing that you have previously considered and signed) and specifically attachments referenced in that briefing, that is in contravention of section 73V of the NDIS Act. The evidence relied upon to support this non-compliance includes that which is contained within that brief and therefore not repeated here.

6. In addition to the evidence set out in that briefing, the NDIA has provided witness statements to the NDIS Commission that confirms and corroborates information held and referenced within EC22-002000. A summary of this evidence is contained at **Attachment M** (pages 9-13) and substantive evidence contained at **Attachments N(1) to N(33)** identifies that Hybrid Hive Pty Ltd, an entity for which Mr Reid has responsibly and authority over its activities, has engaged in the following conduct, in contravention of the NDIS Code of Conduct and which presents a range of risks to NDIS participants, including through exploitation and undermining their independence, choice and control:

a. Whilst NDIS participants in most instances executed service agreements with Forward Focused Group Pty Ltd, NDIS participants' plans were claimed against by

Hybrid Hive Pty Ltd, without knowledge of any service delivery by both providers, nor with their consent. More specifically:

i. The following NDIS participants entered into a service agreements with Forward Focused Group Pty Ltd. Claims were made by Hybrid Hive Pty Ltd against their NDIS plans, in circumstances in which the participants or their nominees had not executed a service agreement with Hybrid Hive Pty Ltd and where the claims had not been authorised by those NDIS participants or their nominees:

- Mr Bassam Haidar (Mr Haidar);
- Ms Amber Wilson (Ms Wilson), nominee for her children's NDIS plans;
- Ms Gina Regali (Ms Regali), nominee for her children's NDIS plans;
- Mr Hrimnir Benediktsson; and
- Ms Jessica Harrison, nominee for child's NDIS plan.

ii. Ms Regali further raised concerns with Mr Blake Sadler (Mr Sadler), a support coordinator employed by Forward Focused Group Pty Ltd, concerning invoices for services not delivered. Mr Sadler sent a text to Ms Regali stating Forward Focused Group Pty Ltd was 'changing the dates on the December Hive invoice'.

iii. Ms Jessica Harrison further raised her concerns with Mr Sadler, who advised her that 'it was fine' and to tell her plan manger to pay the invoices. Mr Sadler also advised that he would find out why Hybrid Hive Pty Ltd was claiming against Charlie Harrison's plan, for which Mr Sadler did not provide any further information.

iv. Claims were fraudulently submitted by and paid to Forward Focused Group Pty Ltd and/or Hybrid Hive Pty Ltd for services not delivered, including in respect of:

1. The NDIS plans of Ms Wilson's children for capacity building and training in self-management and plan management and house cleaning and other household activities;
2. The NDIS plan of Ms Sarah-Jane Clulow (Ms Clulow), specifically:
    - Invoice 1217 for $3,127.50 which was questioned by Ms Clulow. V REID advised there was an extra charge for tax, above the $2,470.00 amount Ms Clulow claims is the correct figure;
    - All claims for short term accommodation;
    - All claims by Forward Focused Group Pty Ltd for community access, house cleaning, assistance with self-care activities and community participation;
    - All claims for dates in which other providers had already claimed;

- All claims for self-management building capacity;
- All claims for psychology during March and April 2022, excluding one hour per week in March 2022;
- Invoice 1146-1; and
- Invoice 1375-1.

3. The NDIS plan of NDIS participant, Seyed Yunus Hashimi, for services allegedly delivered whilst he was overseas;
4. The NDIS plan of NDIS participant, Mr Andrew Hahn (Mr Hahn), for psychosocial counselling, assistance with self-care activities and capacity building and training in self-management and plan management; and
5. The NDIS plan of NDIS participant, Ms Angela Cutler, for assistance with self-care, capacity building and training in self-management, assessment recommendation – other therapy and community access.

Particulars of further information that the Commission holds in respect of falsified and inappropriate claims made by Focused Group Pty Ltd and/or Hybrid Hive Pty Ltd against the NDIS plans of other NDIS participants are as follows:

NDIS Participant	Description of fraudulent claims
Barry MacDonald	Household cleaning and other household activities claimed to have been delivered between 1 May 2021 and 17 July 2021
Bassam Haidar	Claims for house cleaning, provider travel, access to community social and recreational, counselling, self-managed capacity building, short term accommodation or respite, assistance with self-care, assistance with decision making and low-cost AT – personal care and safety.
Ziah O'Reilly	Claims for training in plan management and financial management, assessment recommendation – therapy and support coordination
Angelus Regali-Park	Claims for short term accommodation, self-management capacity building, support coordination and house cleaning and other household activities.
Indiana Regali-Park	
Hayden Trantham	Claims for assessment recommendation – therapy and/or training on 12 to 14 August 2022, counselling, psychosocial recovering coaching and provider travel.
Hrimnir Benediktsson	Claims for assistance with self-care activities, access community, social and rec activities.

NDIS Participant	Description of fraudulent claims
Levi Jetoh	Claims for counselling, delivery of health supports by a registered nurse – weekday daytime for 25 to 26 May 2021
Charlie Harrison	Claims for self-management capacity building, psychosocial recovery coaching, counselling, assistance with self-care activities, specialised behavioural intervention support, assessment recommendation therapy and/or Training, skills development training, innovative community participation and support coordination.
Ben Dines	11 hours of household cleaning
Bekki Mulock	62 hours of household cleaning totalling $1,556.20 and $1,528.30, support coordination
Georgios Taraganis **Liz Odi**	250.8 hours of house cleaning between 15 September 2021 and 26 October 2021 totalling $12,590.16, 178.88 hours of house cleaning between 20 and 31 August 2021, self-management capacity building including invoices 124-1 and 125-1, establishment fee for personal care/participation including invoices 519-1 and 545-1, counselling including invoices 313 and 277-1, assistance with self-care activities including invoices 277-1 and 273 and self-management capacity building under invoice 396.
Miah Cimafranca	Claims for provider travel, assessment recommendation therapy and/or training and counselling.
Marisha Lombard	Claims for short term accommodation, access community, social and rec activities, counselling, psychology services and house and/or yard maintenance.
Meghan Goodwin	Claims for self-managed building capacity, house and yard maintenance.
Janine Craig	Claims for capacity building and training in self-management and plan management, assistance with decision making daily planning and budgeting skills, development and training and assessment recommendation therapy or training – counsellor.
Paul Gilbert	Claims for skills development and training and support coordination.
Sarah-Jane Hammond	Claims for capacity building and training in self-management and plan management.
Yvonne Harrison	Claims for psychosocial recovery coaching, services claimed to have been delivered on weekends and public

NDIS Participant	Description of fraudulent claims
	holidays, claims for all services prior to December 2021, claims for cleaning services, short term accommodation, employment support and more than 4 hours of assistance with self-care activities in any given day or by more than one person.

b. Hybrid Hive Pty Ltd submitted falsified and inappropriate claims against the expiring or expired NDIS plan of NDIS participants, with the objective of exhausting funds in those NDIS plans. More specifically:

   i. Invoices were issued weekly against the expired NDIS plan of Ms Goodwin, for services not provided by Forward Focused Group Pty Ltd or Hybrid Hive Pty Ltd;

   ii. Invoices were issued by Hybrid Hive Pty Ltd against the expired NDIS plan of Ms Yvonne Harrison (Ms Harrison) for alleged services occurring in March 2021. Ms Harrison commenced services with Forward Focused Group Pty Ltd in November 2021 and with Hybrid Hive Pty Ltd in March 2022; and

   iii. 14 invoices were issued by Hybrid Hive Pty Ltd against the expired NDIS plan of Ms Janine Craig for alleged services delivered but for which there was no record held by Hybrid Hive Pty Ltd.

c. Hybrid Hive Pty Ltd, and Mr Rejaul Alam (Mr Alam) and V REID on behalf of Hybrid Hive Pty Ltd, authorised payments of invoices on behalf of participants, without their consent. This resulted in NDIS participants' management of their NDIS plans being undermined and funds being exhausted without their knowledge. More specifically:

   i. Ms Danica Hall (Ms D Hall), former employee of Forward Focused Group Pty Ltd, raised concerns with Mr Alam concerning the validity of invoices raised for which Mr Alam then took responsibility and issued;

   ii. Ms Regali was advised by her plan manager that invoices for dates in January 2022 were accompanied by an email from Mr Alam stating 'we have been advised by the participants have approved the invoice'. Ms Regali confirmed that she had not authorised the invoices; and

   iii. Jessica Harrison is the only person with permission to authorise payments against the NDIS plan of Charlie Harrison. Jessica Harrison has not authorised claims made and paid against Charlie Harrison's plan, including a claims by Infinity Living Options Pty Ltd, an entity for which she has no knowledge.

d. Further, Hybrid Hive Pty Ltd, Forward Focused Group Pty Ltd and representatives operating on behalf of Hybrid Hive Pty Ltd, engaged in aggressive claiming activities against the NDIS plans of NDIS participants, making inappropriate and falsified claims for supports and services not delivered. More specifically:

   i. Ms D Hall, was instructed and pressured by V REID to make phone calls to all participants concerning a river cruise for which $7,500 was to be charged against the NDIS plans of participants, including in circumstances in which participants had already declined. V REID instructed Ms D Hall and other support coordinators to charge 15 minutes of support coordination for each

phone call against NDIS plans of participants. Ms D Hall further considered this harassment of participants;

ii. Ms Janine Hall (Ms J Hall), a former employee of Forward Focused Group Pty Ltd, was also directed by V REID to call NDIS participants to harass for attendance at a New Year's Eve cruise. If participants declined, they were placed on the list of another employee to be called. Ms D Hall was instructed by V REID to 'bill' for these phone calls for support coordination, even if phone calls were unanswered;

iii. Ms D Hall states that she was trained to send invoices for services not provided, send invoices to claim funds from expired plans for services not provided and alter dates on invoices to claim from plans that had funding left in them;

iv. Ms Norman was directed by V REID to record more hours than the time actually required to provide support coordination, Ms Norman advises 'this was constant; she would call us dumb and tell us we're putting our jobs in jeopardy by not doing what we're told regarding the hours, and that we didn't understand how the NDIS worked'; and

v. Ms Terri Roberts (Ms Roberts), former employee of Forward Focused Group Pty Ltd, alleges V REID directed support coordinators to 'bill participants at least 15 hours per day' and that once this had been achieved, staff would receive 50% of the charge as a bonus.

Compliance advice

7. Section 73ZN(2)(a)(iii) of the NDIS Act relevantly provides that the Commissioner may, by written notice, make an order (a banning order) prohibiting or restricting specified activities by a person, if the Commissioner reasonably believes that the person is not suitable to provide supports or services to people with disability.

8. As Branch Head NCW, you are delegated in accordance with the Instrument No.2 of 2022, to make decisions under section 73ZN of the NDIS Act.

9. It is considered that it is open to you to make banning orders in respect of Mr Reid, on the basis that:

   9.1. He is a person who is in a position of responsibility and authority over Hybrid, an entity for which significant fraud against the NDIS has occurred; and

   9.2. He is a joint signatory to the bank accounts to which monies paid as a result of fraudulent claims submitted by FFG and Hybrid were paid, and has likely benefited as a result.

   Further details of the proposed basis for this banning order is contained in Attachment A.

10. As noted above, section 73ZN(7) requires the Commissioner to give the person an opportunity to make submissions to the Commissioner on the matter. On 17 November, you issued an intention to make a banning order to Mr Reid (**Attachment B**), fulfilling this requirement.

    10.1. On 22 November 2022, Mr Reid, through his legal representatives, issued a letter is response, requesting an extension of time.

    10.2. On 30 November 2022, Mr Reid, through his legal representatives, issued a letter responding to the intention notice issued on 17 November 2022 (**Attachment C**). The letter makes submissions that are addressed in Attachment A.

    10.3. On 2 December 2022, you issued a response to Mr Reid, providing an extension of time, being to 14 December 2022 (**Attachment D**).

10.4. On 8 December 2022, Mr Reid, through his legal representatives, issued a letter responding to the letter of 2 December 2022 (**Attachment E**).

11. Section 73ZN(9) requires you, as a delegate of the Commissioner, to:

    11.1. give the banning order to the person against whom the order is made; and

    11.2. include in the banning order a statement of reasons for the order.

    The banning order at **Attachment A** meets these obligations.

12. Further, it is open to you to determine the period in which a banning order is in force. It is recommended this be for five years. This time period has been proposed as a proportionate period and consistent with the proposed banning order for The Hive Pty Ltd.

13. Dependent on any new evidence obtained and/or a determination of a court, the banning orders may be varied or revoked.

14. It is considered that the recommended banning order is consistent with the NDIS Commission's banning order policy. Particularly, the proposed action seeks to mitigate ongoing significant risk to people with disability and are preferred as other actions are not appropriate in the circumstances. For example, the nature of conduct is not conducive to remedial actions being preferred.

Consultation

15. Please note that legal advice has been sought in respect of this package, see **Attachment G**.

Risks and sensitivities

16. The evidence relied upon in this brief, draws upon statements obtained and provided by the NDIA in support of their criminal investigation and associated proceedings. The NDIA has noted to the Commission that it agrees for this evidence to be relied upon to inform proposed administrative decisions, however notes (**Attachment P**).

Prepared by:
Matt Barr
Director, Compliance and NDIS Worker Screening